

**TEACHING NOTE**

**SMU-24-0037TN NIKE'S CONSUMER DIRECT OFFENSE  
STRATEGY: A HIT OR A MISS?**

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## NIKE'S CONSUMER DIRECT OFFENSE STRATEGY: A HIT OR A MISS?

This note serves as a facilitator's guide to the *Nike's Consumer Direct Offense Strategy: A Hit Or A Miss?* case study. After a brief case synopsis, the note describes the learning objectives and key lessons. Assignment questions are listed and a teaching plan to guide the discussion and answer the questions is presented.

### Case Synopsis

Set in 2024, this case examines Nike's adoption of the Consumer Direct Offense (CDO) strategy to accelerate the growth and impact of its direct-to-consumer (DTC) model. Through CDO, the company sought to deepen consumer connections by offering faster access to innovation and premium brand experiences. It aimed to sell predominantly through its own retail channels, both physical stores and digital platforms, to offer a direct and curated shopping experience.

Implementation of CDO over 2017-2024 comprised several measures, such as the restructure and re-organisation of its operations, acquisition of new technologies and digital capabilities, development of an omni-channel supply chain and retail network, ramping up of the product innovation pipeline, radical cut back on its long-standing wholesale distribution, and upgrade of initiatives like its membership programme. The Consumer Direct Acceleration (CDA) programme introduced in 2020 further helped the company digitally empower and accelerate the alignment of its marketplace in line with CDO.

Early signs of success were evident in fiscal years 2021 and 2022, with the rise in Nike's net income and gross margin primarily on account of growth in direct revenues. However, over 2022-2023, in the aftermath of COVID-19, Nike faced an unexpected slowdown in consumer demand, which resulted in significant inventory accumulation of both seasonal and off-season products. In fiscal year 2023, the company gross margins declined, while its net income fell for the first time, a 16% year-on-year drop. While Nike was not alone in this challenging time, unlike others, it did not have enough representation in third party retail to alleviate its inventory, and its absence from the multi-brand retail shelves led consumers to opt for competitor brands that they could try out and compare before buying.

In fiscal year 2024, with the downward trend continuing, Nike needed to pause and reflect on its CDO strategy. Should the company continue with this approach or adjust certain elements to better align its marketplace with customer preferences? What was the ideal long-term balance between DTC and wholesale distribution that Nike should target moving forward? Alternatively, should Nike abandon the strategy entirely and return to its earlier 'lean and flexible' model, refocusing on product innovation and brand marketing?

## Learning Objectives

The case is appropriate for undergraduate, MBA, and executive courses related to industry analysis, strategy, retailing, marketing, digital, and ecommerce. It helps students explore contemporary issues in the race to develop DTC omni-channel business models and understand the need to maintain a balance between existing capabilities and building new ones. Additionally, students will gain insights into the complexities of establishing a DTC channel, including the integration of omni-channel capabilities.

Through the case discussion, students will explore stakeholder theory and assess how Nike's shift to a new model impacts key stakeholders, while also analysing their potential responses and implications for the model's sustainability. In particular, students will debate the significance of wholesalers and strategic partnerships in building and sustaining a company's competitive advantage. They will also examine the evolution of customer journeys, in which digital interfaces are now seamlessly integrated across all touchpoints, and explore the concept of customer empowerment and its impact on brand loyalty.

The case also offers a compelling context for debating popular business maxims, such as whether being a first mover is always an advantage and the validity of the saying, "If it ain't broke, don't fix it".<sup>1</sup>

## Suggested Lesson Plan

### *Suggested Seminar Outline*

| Activity                                                                                                                | Instructional Strategy | Duration (min) |
|-------------------------------------------------------------------------------------------------------------------------|------------------------|----------------|
| Discussion about the relevance of Nike's CDO strategy, and how it differed from the previous DTC focus                  | Class Discussion       | 15             |
| Discussion on the key features of the CDO strategy and the measures Nike undertook for its implementation               | Break-out Groups       | 20             |
| Discussion on the stakeholder theory, the impact the new business model had on the key stakeholders, and their response | Class Discussion       | 25             |

<sup>1</sup> "Well known expressions", Book Browse, [https://www.bookbrowse.com/expressions/detail/index.cfm/expression\\_number/326/](https://www.bookbrowse.com/expressions/detail/index.cfm/expression_number/326/), accessed December 2024.

|                                                                                                          |                               |    |
|----------------------------------------------------------------------------------------------------------|-------------------------------|----|
| Discussion on the benefits and drawbacks of the CDO strategy, and recommendations for Nike going forward | Class Exercise and Discussion | 20 |
| Wrap-up of Case (discuss strategies discussed, key learnings and epilogue)                               | Lecture                       | 10 |
|                                                                                                          |                               | 90 |

## Student Assignment Questions

1. What are the main elements of Nike's CDO strategy? How does Nike's CDO model differ from its previous strategy, particularly in terms of the value proposition it offers to its target segment?
2. Who are the key stakeholders impacted by Nike's CDO strategy? Analyse the effects on each group and discuss their likely responses.
3. Evaluate the CDO strategy. What should Nike do next?

## Case Analysis and Teaching Plan

### *Answers to Student Assignment Questions*

- 1. What are the main elements of Nike's CDO strategy? How does Nike's CDO model differ from its previous strategy, particularly in terms of the value proposition it offers to its target segment?**

The instructor may begin by briefly describing the key objective of Nike's CDO strategy. With this strategy, Nike sought to strengthen customer relationships by providing fast access to innovative, high-performance products and exclusive styles, delivering premium, seamless brand experiences, and offering a personalised, curated shopping journey.

To execute this strategy, Nike restructured its operations, adopted advanced technologies, and enhanced its digital capabilities. The instructor may ask the students to list down the key features of its proprietary DTC model, which includes the following:

- **New structure:** Nike Direct and end-to-end design-to-delivery units for organising Nike's digital, DTC retail and member operations; creating direct, interactive, and innovative brand-consumer experiences; and directing focus on categories expected to grow the most, such as the women's category.

- **Market focus:** Limited to 12 cities across ten countries—key markets expected to contribute over 80% of the revenue; business segments reduced from six to four regions for greater managerial and operational efficiency.
- **Retail and service network:**
  - o Substantial cut down on third party retail partnerships from 110,000 distribution points through wholesale in 2017 to 30,000 points by 2023.
  - o Launch of different formats of Nike's own stores—Nike House of Innovation, Nike Live, Nike Rise, Nike Unite, and Nike Style that blended digital and physical experiences.
  - o Launch of several digital platforms: the website Nike.com and four mobile apps
- **Omni-channel supply chain:** Multi-node regional fulfilment centres networks set up in place of Nike's previous centralised national distribution facilities and deployment of robotics and automation to enhance picking efficiency, reduce operational costs, and enable faster deliveries; and launch of services including click-and-collect from store and ship-from-store to home of online orders.
- **Accelerated supply chain:** Creation of 'Express Lane' to facilitate product design to delivery in less than six months, update products from demand signal to delivery in less than three months; fulfil or replenish sold-out product in just a matter of days; provide same-day or next day deliveries.
- **Digital capabilities:** Acquisition of advanced technologies, such as demand-sensing, inventory optimisation, and automation to drive DTC strategy across the value chain; adoption of artificial intelligence or AI to develop apps such as Nike Fit and Nike ID enabling shoe size assessment virtually, and designing of personalised sneakers, and other apps such as SNKRS app, NIKE Run Club, and NIKE Training Club to offer differentiated direct experiences; and development of Nikeland, a game-based immersive 3D metaverse.
- **Nike consumer experience (NCX):** Creation of immersive spaces (own physical stores and digital platforms) with fully digital, end-to-end consumer experiences integrated with its apps across all touchpoints, innovative experiential activities, and a broad range of digital and convenience-focused services. At select third-party retail locations, established dedicated brand spaces staffed with Nike-trained employees to enhance customer service.
- **Demand creation:** Increased investments to boost customer engagement and drive sales; enhanced version of its membership programme, NikePlus, offering enriched services such as, curated, member-only, assortment of items, early access to the latest products tailored to individual preferences and purchase history, and the ability to reserve products.

To highlight the difference between Nike's CDO model and its previous strategy, the instructor may ask the students to discuss the value proposition the company aimed to offer in terms of two key aspects: 'Who to serve' and 'What to offer'.

### *'Who to Serve'—Target Segment*

The instructor could begin by asking participants about Nike's target segment—who it serves and how it differs between the old and new approaches.

Previously, Nike targeted consumers indirectly by selling products to third-party retailers and wholesalers, who then sold to end-users. While Nike maintained a consumer-oriented approach since 1998, its direct engagement with end-users was limited and relied mainly on promotional campaigns. In contrast, the CDO approach prioritised direct sales to consumers through multiple touchpoints. It primarily engaged its audience via DTC channels, including both physical retail stores and digital platforms, while minimising reliance on intermediaries. Nike's shift acknowledged emerging consumer trends such as the rise of active lifestyles, the growing preference for seamless online shopping with fast delivery, and the increasing demand for premium, exclusive experiences.

### *'What to Offer'—Value*

The core value offered by Nike's CDO strategy was consumer empowerment, as it moved the balance of power from producers and sellers to consumers. The Consumer Empowerment Theory, articulated by Edelman and Singer, explains that digital advancements have made it possible for modern consumers to take control of their purchase experiences, decisions, and brand interactions, marking a shift from the traditional, passive consumer role to one that is more active, engaged, and influential.<sup>2</sup>

Nike's CDO strategy enabled consumer empowerment by facilitating the following:

- **Transparent and easy access to information:** Nike provided detailed information about its products and services, including their key benefits, material, design, technical features, availability, pricing, as well as the ability to track its delivery status. It also ensured that consumers learn about its new product launches and various promotions directly and in real time to make informed decisions. The instructor may wish to encourage the students to explore how Nike facilitates product reviews and comparisons.
- **Technology enabled personalised experiences:** Nike invested extensively in digital capabilities, offering curated content based on shoppers' past behaviour and preferences. For example, its apps like Nike Run and Training Club made product recommendations based on the users' profiles and running style with a built-in upsell prompt for Nike running products and automatic reminders when customers' shoes needed replacement. The SNKRS app allowed members direct access to highly-desirable products based on their mobile geo-locations, while providing surprise notifications for highly sought-after sneakers. It offered several interactive features, such as virtual capability to check appropriate sizes for the customer across several styles, chatbots for customer support, and metaverse like Nikeland that enabled visitors to browse merchandise, build and style avatars, design sneakers and play games.
- **Direct selling and omni-channel experiences:** Nike offered direct access to consumers by removing the middle layer of retailers and wholesalers and providing consumers greater control

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<sup>2</sup> David Edelman and Marc Singer, "Competing on Customer Journeys", Harvard Business Review, 93(11), 2015, pp.88-100.

over when, how, and where they shop. Customers could order or reserve products at any time using its various apps, allowing immediate sales via the app or at the nearest Nike or wholesale stores. The Nike app also had an in-store mode, enabling shoppers to request for fitting rooms and shoe sizes instantly, access special offers and exclusive products, and checkout directly in the app without having to queue up at the counter.

- **Participation in value creation:** Nike invited customers to engage directly with it, provide feedback, and co-create sneakers through its own stores. For instance, at Nike Style, it encouraged community members to create content for their own social media channels with customisable backdrops. Its 'Nike By You' workshops and SNKRS Lounge events for members allowed them to customise and upcycle existing items into one-of-a-kind pieces.

## 2. Who are the key stakeholders impacted by Nike's CDO strategy? Analyse the effects on each group and discuss their likely responses.

Stakeholder theory postulates that a business influences many parties that can be either internal or external to the organisation. Internal stakeholders have a direct relationship with the company and include employees, investors and consumers. External stakeholders are all those who are indirectly involved, such as supply chain partners, competitors and the community at large. The theory stresses these interconnected relationships and emphasises that a firm should create value for all stakeholders, not just shareholders.<sup>3</sup>

Effective stakeholder management is essential for a business model to be successful and sustainable, and Nike's CDO model must hence consider the interests and concerns of all its stakeholders who are directly affected by the company's strategic shift. The relevant stakeholders in this context can be considered as: Nike shareholders, Consumers, Retailers and Distributors, and Competitors.

Students can be asked to break out into groups to discuss the effect of Nike's CDO strategy on each of these groups and their likely responses.

### *Nike Shareholders*

Shareholders are directly affected by a company's performance, as it influences their return on investment. They are particularly interested in financial metrics such as sales growth, profitability, and higher margins, which enhance the market value of their shares and increase dividend payouts.

When Nike introduced its CDO strategy, it aimed to boost profitability by increasing full-price sales and eliminating intermediary margins. The new model reduced distribution costs by selling directly and retaining only the more profitable, differentiated third-party retail partners while eliminating less profitable, undifferentiated retailers. In addition, Nike's Triple Double strategy of amplifying innovation, accelerating speed to market, and growing consumer connections directly and faster aimed to help the company grow its sales and market share. Besides the financial upside, the DTC distribution enabled order fulfilments from locations closer to consumers, thereby reducing the

<sup>3</sup> "About the Stakeholder Theory", Stakeholder Theory, <http://stakeholdertheory.org/about/>, accessed January 2025.

company's carbon footprint and aligning with shareholders' increasing demand for ESG-driven corporate practices.

The COVID-19 outbreak also helped Nike win over shareholders who were yet to be convinced of its new model. During the pandemic, when most of its competitors were scrambling to create their e-commerce models, Nike had a fully functional one firmly in place. As the case points out, Nike delivered strongly on its promise to its shareholders with a record revenue of US\$46.7 billion and a higher gross margin at 46% (from 43.8% in 2018) for the fiscal year 2022.<sup>4</sup> Thus, the effect of Nike's CDO on its shareholders over 2018-2021 were positive (refer to Case **Exhibit 5**) with higher sales revenue, higher gross margins and lower distribution costs (although there were higher operational overheads on account of creating a direct distribution channel). This strengthened shareholder confidence in the company, driving Nike's share price to its peak in early 2022, with a market capitalisation of \$233 billion as of January 2022.<sup>5</sup>

However, as the case highlights, Nike ran into trouble in 2022 due to high in-transit inventory. Its inventory reached US\$8.4 billion in fiscal 2022 and US\$8.5 billion in fiscal 2023, marking a 23% increase from 2021. Unlike its competitors, Nike lacked access to third-party retail channels to help liquidate the excess inventory. To drive sales, it ramped up promotions, which led to record-high demand creation expenses. Additionally, overhead costs rose due to investments in technology, restructuring, and logistics.

Despite a marginal increase in gross revenue in fiscal years 2023 and 2024, Nike experienced a decline in gross margins and a significant drop in net income—16% in 2023 and 5.7% in 2024 compared to 2022 (refer to Case **Exhibit 5**). As a result, the impact of Nike's CDO strategy on its shareholders over 2022-2024 was negative with lower gross margin, higher overheads, and marginal annual growth in gross revenue in 2024.

The poor performance eroded shareholder confidence, leading to a significant decline in Nike's share value, and the company's market cap dropped to around US\$139 billion (June 2024).<sup>6</sup>

If desired, the instructor may share the following information about Nike's shareholder response beyond the case timeline at this stage or when the case analysis is complete.

Shareholder confidence in the company continued to decline, and in June 2024, a lawsuit was filed against the company, claiming that Nike misled investors about the financial impact of prioritising DTC sales. Nike executives CEO John Donahoe and CFO Matthew Friend were accused of misrepresenting that Nike's DTC strategy was unable to generate sustainable revenue growth.<sup>7</sup> As of early 2025, Nike had yet to regain shareholder confidence, with its market capitalisation having

<sup>4</sup> Fiscal year ends on May 31 of the calendar year.

<sup>5</sup> "NIKE Market Cap 2010-2024 | NKE", Macrotrends, <https://www.macrotrends.net/stocks/charts/NKE/nike/market-cap>, accessed January 2025.

<sup>6</sup> "NIKE Market Cap 2010-2024 | NKE", Macrotrends, <https://www.macrotrends.net/stocks/charts/NKE/nike/market-cap>, accessed January 2025.

<sup>7</sup> "Nike Faces Shareholder Lawsuit Over DTC Strategy", SGB Media, June 24, 2024, <https://sgbonline.com/nike-faces-shareholder-lawsuit-over-dtc-strategy/>, accessed January 2025.



reduced to \$106 billion (in January 2025).<sup>8</sup>

### Customers

Students may consider two key consumer segments as Nike's core buyers: Performance Athletes and Fitness Enthusiasts; and Health-Conscious Lifestyle Buyers.

- Performance Athletes and Fitness Enthusiasts segment consists of individuals who are into active sports or fitness pursuits. They are tech savvy, fashion conscious, and keep up to date with the latest products in footwear and fitness. These people maintain training or fitness routines, and participate in activities such as marathons, hiking and similar physical challenges.
- Health-Conscious Lifestyle Wearers is a group that prioritises a healthy lifestyle and stays attuned to fitness fashion trends. They often engage in activities like regular walks, weekend runs, or gym workouts to maintain their overall well-being.

The instructor may ask students to use the customer journey model to assess how these two consumer groups' purchase probabilities of Nike products might be affected by Nike's CDO strategy.

### Customer Journey

The customer journey for purchasing a product or service has significantly evolved with the rise of media and omni-channel retail platforms. Rather than following a linear path, customers now navigate the process in a more dynamic, cyclical manner, and the typical customer journey involves multiple online and offline touchpoints. The different touchpoints can be categorised into key purchase funnel stages:

- Awareness and Information Search
- Consideration
- Evaluation
- Purchase
- Post Purchase experience

To elaborate, customers identify a need, explore available options (often shaped by prior experiences), consider and evaluate a few choices, make a purchase, and then assess their post-purchase satisfaction. Not all customers follow these stages sequentially—some may skip steps, combine them, or start in between the cycle.

The instructor may ask the students to reflect on their recent sneaker purchases and compare their purchase journeys with one another. Some may have gone through all the stages, while others might begin at the consideration phase if they already have the necessary information. Others may skip straight to purchasing due to a positive past experience. After the purchase, the entire cycle starts anew.

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<sup>8</sup> "NIKE Market Cap 2010-2024 | NKE", Macrotrends, <https://www.macrotrends.net/stocks/charts/NKE/nike/market-cap>, accessed January 2025.

The likelihood of the two key customer segments purchasing Nike's products are as follows:

- **Performance Athletes and Fitness Enthusiasts:** These customers tend to stay informed about new products via social media and online retail platforms, with past purchase experiences playing a significant role in their decisions. However, they may display multi-brand loyalty, choosing from a few preferred brands rather than committing to one, due to the rapid pace of innovation in the sportswear industry. Nike's CDO strategy can be considered to align well with these customers by providing them regular updates on new launches, promotions, and tailored recommendations. This keeps Nike top of mind within their consideration set. As these customers usually know what they want, they are less reliant on physically experiencing products before purchase, increasing the likelihood of them buying from Nike.
- **Health-Conscious Lifestyle Wearers:** These customers prioritise both functionality and aesthetics, often exploring multiple brands. While they may have a preferred set of brands, they remain open to other options. To make informed decisions, they prefer visiting multi-brand retail outlets where they can try and compare products of different brands before purchasing. Nike's CDO strategy restricts product availability in multi-brand retail environments, decreasing its visibility and hence the likelihood of being included in shoppers' consideration sets. Consequently, consumers are more likely to encounter and purchase competitor brands.

### *Retailers and Distributors*

Before adopting its CDO strategy, Nike operated an extensive third-party retail network with 110,000 points of sale. Under CDO, Nike shifted to a DTC model, prioritising e-commerce and its own physical stores. This led to a significant reduction in wholesale distribution, including a phased withdrawal from key partners like Foot Locker and Macy's, as well as independent specialty retailers. As a result, these retailers faced:

- Reduced inventory of Nike products
- Limited supply of popular Nike styles, negatively impacting their sales and customer experience.
- Revenues losses of up to 70%
- Increased costs to deliver a premium Nike experience to customers
- Empty shelf space
- Eroded trust in the brand

This prompted retailers to fill the vacated shelf space with established brands like New Balance and Skechers, as well as emerging players, such as Roger Federer-backed On Holding and Deckers-owned Hoka. Retailers also strengthened partnerships with these brands, providing them greater visibility and actively promoting their products.

### *Competitors*

Under CDO, Nike withdrew from prime retail spaces and moved away from its erstwhile sports focus in driving its product strategy. In addition, its focus towards DTC slowed down the momentum towards developing breakthrough product innovations. This created opportunities for both established players and emerging and new brands, leading to increased fragmentation of the

sportswear industry:

While sportswear brands like Adidas and Puma expanded their DTC networks, they maintained a robust presence in the wholesale retail channel. In 2023, wholesale contributed 59% of Adidas's net sales and 66% of Puma's. In contrast to Nike's strategy, Adidas focused on strengthening relationships with wholesalers, allowing it to offload excess inventory and manage returns through the wholesale partners during the post-pandemic market glut. Furthermore, these retail points enabled them to clear surplus stock by offering discounted products to shoppers. The absence of Nike products for comparison further boosted their sales. In 2024, while Nike's shares dropped by as much as 20%, Adidas shares—that had typically aligned with the U.S. company's performance in the past—maintained their value.

Nike's shift of its retail and marketing strategy paved the way for niche sportswear brands like Hoka and On Running to emerge as key competitors. Vacated prime retail shelf space was quickly filled by these newer players, whose faster innovation cycles, stronger appeal to younger customers, and emphasis on both performance and aesthetics allowed them to capture market share rapidly.

### 3. Evaluate Nike's CDO Strategy. What should Nike do next?

The students may be asked to break out into groups (of four to five) with each group undertaking a strength and weakness analysis of Nike's CDO strategy (refer to **Table 1**). Groups can then be assigned to make a case for either continuation of CDO strategy (with some refinement) or for abandoning the strategy and going back to its previous model.

#### *Continue CDO (with some refinement)*

It may be argued by the groups supporting Nike's strategy that the CDO approach leverages the modern consumers' fragmented purchase journeys with multiple and unique touch points. This creates an ecosystem that tends to stick to the consumers wherever they go. For instance, a consumer may visit the brand's website when considering buying a pair of shoes, then decide to go to a physical store to check them out, and use the in-store app to checkout. Nike leverages its digital capabilities to tie these customers' journey together and analyse the robust data gathered from their past interactions, purchase history, and social media engagements, to drive conversion through targeted recommendations that resonate with the individual's unique needs and interests.

The digitally enabled stores act as experiential marketing platforms for brand building in addition to being enhanced points of sale. In the case of Nike members, the direct and customised promotions, exclusive access, product drops (where new products are released in limited quantities for a short time) and other information updates, and fast same day deliveries along with the ability to reserve, helps the brand gain brand loyalty and larger share of their wallet. As sneakers tend to wear out with use and result in repeated purchases through a customer's active phase of life, brand loyalty would help the company grow the lifetime value of its customers.

**Table 1: Strength and Weakness Analysis of Nike's CDO Approach**

| Strength/Benefits                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Weakness/Drawbacks                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"> <li>• Sticky omni-channel ecosystem—digital apps and digitally enabled flagship stores create a strong consumer connect</li> <li>• Access to robust data—enabling effective segmentation at an individual level</li> <li>• Concept stores act as experiential marketing platforms for brand building</li> <li>• Improved customer relationships and higher brand loyalty through direct marketing and the enhanced membership programme</li> <li>• Improved profit margin as DTC sales more profitable than wholesale sales</li> <li>• More control over brand representation throughout a customer's journey</li> <li>• Different formats of Nike stores enable targeting of different customer segments</li> <li>• Leverages the growing consumer preference for e-commerce</li> <li>• Cost effective and efficient omni-channel model because of vertical integration into distribution and fulfilment services</li> <li>• Leaner and simpler organisation with restructuring and elimination of middlemen</li> </ul> | <ul style="list-style-type: none"> <li>• Limited physical footprint—loss of opportunity due to absence from the industry's dominant marketplace channel</li> <li>• Loss of long standing and strategic retailer relationships</li> <li>• Lack of understanding of offline customer behaviour</li> <li>• Limited ability to provide touch and feel experience</li> <li>• Higher operational complexity and inefficiency</li> <li>• High cost of setting up digital and fulfilment capabilities</li> <li>• High inventory build-up</li> <li>• Aggressive transition resulting in overwhelming the system</li> <li>• Opened the doors for competition</li> <li>• Slowed down product innovation cycle</li> <li>• Dilution of brand equity built on bold marketing and breakthrough sports led product innovations</li> <li>• Simplification of product assortment diluted focus from sports</li> <li>• High demand creation cost</li> </ul> |

The students may emphasise that the pivot to its DTC network for sales enables Nike to generate higher margins and a larger share of full priced product sales because of the elimination of middlemen. The company also has more control over how the brand is represented at retail points in terms of merchandise, pricing and customer service. Besides its own stores, Nike offers a premium customer experience through select differentiated third party retailers, who provide branded Nike space within their store, and Nike-trained salespersons. Students may also note that Nike's CDO approach leverages the growing preference for e-commerce, and its vertical integration into distribution and fulfilment has enabled nearshoring, allowing the company to expedite deliveries, including same-day options in the most cost-effective manner.

Nike's diverse store formats enable the company to deliver unique value while targeting specific customer segments. For instance, Nike House of Innovation stores, located in prime urban locations, showcase the latest products and services and focus on brand building. Nike Live, which are small, members-only stores, are hyper-localised, featuring merchandise, services, and promotions tailored to regional trends, local teams, and cultural preferences. Nike Rise is designed for urban environments, caters to an entire city and offers a community-centric shopping experience. Nike Unite focuses on connecting the local communities with sports and highlights homegrown athletes, offering products relevant to the neighbourhood. Nike Style targets a modern, sports-lifestyle audience, featuring curated collections and inclusive, gender-agnostic shopping zones. In addition, aligning assortments with local demand enables Nike to use these stores as convenient shipping or pickup points for customers placing online orders. By opting for store locations close to communities and neighbourhoods, Nike makes the brand more accessible to local customers.

However, while supporting Nike in this endeavour, students may also suggest that certain elements of the strategy should be refined going forward, especially in the wake of the pandemic, when the economy and discretionary spending by consumers has weakened.

- Nike should re-establish some of its strategic relationships in the multi-brand wholesale marketplace to maintain a presence in the channel
- Nike should enhance its CDO strategy by fast-tracking product innovations and amplifying its customer-facing marketing activities, as these elements of its strategy have been overshadowed by the company's focus on building digital and omni-channel capabilities.

#### *Withdraw CDO*

The group of students advocating for Nike to revert to its earlier model, which combined DTC with wholesale, may argue that the CDO approach presumed customers would prefer to buy directly from the brand if given the choice and would pay a premium for a personalised experience, despite competitor brands being available at discounts through wholesale outlets. However, this assumption has been proven incorrect, as shoppers, particularly post-pandemic, are more price-conscious and willing to explore multiple brands for better deals.

More importantly, Nike underestimated customers' need for variety, brand comparison, and the ability to physically try on sports shoes before making a purchase decision, leading many to prefer multi-brand outlets over single-brand stores like Nike's. The students may emphasise that the CDO strategy forces customers to buy Nike products through the company's chosen platforms rather than ensuring availability wherever customers prefer to shop. In contrast, key competitors such as Adidas and Puma have successfully embraced DTC while maintaining a strong presence in wholesale channels.

Furthermore, Nike's substantial reduction in third-party retail led to the loss of longstanding and strategic marketplace relationships while forcing some retailers to curtail their operations or even shut down. This impacted the brand in three critical ways. First, it removed a significant entry barrier for emerging competitors like Hoka and On, as wholesalers that were previously reliant on Nike for revenue turned to these alternative brands to fill the gap left by Nike. Second, Nike forfeited its most valuable partners for managing inventory and returns. During market slowdowns, third-party retailers

play a crucial role in liquidating excess inventory through promotions and absorbing surplus stock. While many sportswear brands experienced a post-pandemic market glut, their sustained presence in multi-brand third-party retail mitigated the impact, sparing them from challenges as severe as those Nike faced. Third, Nike lost its on-ground support for acquiring customers. Without the department and speciality stores, it must invest more in marketing, which is increasingly costly and difficult in the online space.<sup>9</sup>

Moreover, Nike expected CDO to generate higher profits by cutting down distribution expenses, however, the high investments, time, and effort required in setting up the DTC network and managing its operations made the model complex, costly, and inefficient. The company has also laid off hundreds of employees over 2020-2023, resulting in loss of professionals with decades of experience.

Most critically, Nike's formidable consumer brand was built on a foundation of sports- and athlete-led product development and innovation, coupled with exemplary marketing through storytelling. However, under the CDO strategy, the company has diluted its sports focus and lost momentum in both breakthrough innovations and marketing. It is imperative for Nike to return to its roots in sports and drive product development that aligns with this core identity.

The instructor may conclude the discussion by referring to the popular saying: "If it ain't broke, don't fix it". While Nike's decision to drive DTC was undoubtedly a forward-thinking move, was it really necessary to do so at the expense of its existing network—a system that was functioning effectively and consistently delivering results for the company?

## Epilogue

In June 2023, Nike announced that its DTC strategy would remain unchanged; however, it would re-establish some of its strategic relationships in the multi-brand wholesale marketplace.<sup>10</sup> According to Donahoe,

*We recognise that in our movement toward digital, we had over-rotated away from wholesale a little more than we intended...We've corrected that. We're investing heavily with our retail partners....*<sup>11</sup>

Over 2023-2024, Nike renewed its partnerships with some of its key partners, including Macy's, DSW, Foot Locker and JD sports.<sup>12</sup> However, by the end of the year, Nike had to revise its revenue

<sup>9</sup> Gabrielle Fonrouge, "Nike CEO Says Focus on its Own Website and Stores Went Too Far as it Embraces Wholesale Retailers Again", CNBC, April 12, 2024, <https://www.cnbc.com/2024/04/12/nike-ceo-acknowledges-it-went-too-far-in-direct-push.html>, accessed January 2025.

<sup>10</sup> "Nike's Share of Direct Sales Hits \$21.3 Billion, a 14% increase in FY 2023", PYMNTS, June 29, 2023, <https://www.pymnts.com/news/retail/2023/nikes-share-of-direct-sales-hits-21-3-billion/>, accessed January 2025.

<sup>11</sup> Gabrielle Fonrouge, "Nike CEO Says Focus on its Own Website and Stores Went Too Far as it Embraces Wholesale Retailers Again", CNBC, April 12, 2024, <https://www.cnbc.com/2024/04/12/nike-ceo-acknowledges-it-went-too-far-in-direct-push.html>, accessed January 2025.

<sup>12</sup> "Nike Reverses Course to Reestablish Wholesale Partnerships and Expand Retail Presence", PYMNTS, June 13, 2023, <https://www.pymnts.com/news/retail/2023/nike-reverses-course-to-reestablish-wholesale-partnerships-and-expand-retail-presence/>, January 2025.

outlook for fiscal 2024, downgrading it from mid-single digits to only 1% growth over the previous year.<sup>13</sup>

In 2024, Nike rolled out plans to reduce costs by US\$2 billion through operational restructuring and layoffs. The company intended to inject these savings over 2024-2027 into enhancing its CDO strategy by fast-tracking product innovations and amplifying its customer-facing marketing activities to reconnect with consumers and reinforce its market position, starting with the July 2024 Paris Olympics.

However, with Nike's sales continuing to decline and its stock plummeting in value, in October 2024, Donahoe was replaced by Elliott Hill, a company veteran who had worked at Nike for 32 years before retiring in 2020.<sup>14</sup> Soon after taking over, Hill announced that Nike would return to its core foundation and primary revenue driver: sport and the athlete. The company planned to revitalise product development and design through athlete insights and reinvest in brand storytelling during major sports moments. Hill said,

*The best innovation comes from an athlete—how to make them run faster, jump higher, be safer, move quicker... We're at our finest when we put athletes at the centre of everything we do.*<sup>15</sup>

Nike's marketplace strategy would be to develop an integrated platform comprising both Nike Direct and a third-party retail network. The company aimed to earn back the trust of its wholesale partners, and provide consumers a choice to buy from wherever they preferred.<sup>16</sup>

## Wrap-Up

The case underscores the importance of a rigorous stakeholder and customer journey analysis to guide strategy. While seemingly appealing, Nike's CDO strategy of eliminating the middlemen, was executed too rapidly. By aggressively cutting third-party retail, Nike became overly reliant on digital channels, making it vulnerable when consumer behaviour shifted post-pandemic. Nike struggled to be part of the customer journey, had to manage product returns, found itself without the safety net of its traditional retail partners to help manage inventory, and opened the door for new players to gain market share. Additionally, the fast transition diverted resources toward developing DTC capabilities at the expense of product innovation and storytelling-driven marketing that were critical to Nike's brand equity and growth.

Nike's aggressive CDO shift also illustrates that being a first mover is not always an advantage. Competitors like Adidas, which lagged in their DTC implementation, learned from Nike's missteps and adopted a more balanced approach—investing in DTC while maintaining key wholesale relationships. This allowed Adidas to capitalise on Nike's shortcomings, demonstrating that

<sup>13</sup> Gabrielle Fonrouge, "Nike Sinks 12% After it Slashes Sales Outlook, Unveils \$2 Billion in Cost Cuts", CNBC, December 21, 2023, <https://www.cnbc.com/2023/12/21/nike-nke-earnings-q2-2024.html>, accessed December 2024.

<sup>14</sup> Ruth Umoh, "Nike's New CEO Wants to Bring the Retail Giant Back to its Sports Roots", Fortune, January 23, 2025, <https://fortune.com/2025/01/23/nike-new-ceo-elliott-hill-sports/>, accessed January 2025.

<sup>15</sup> Ibid.

<sup>16</sup> Cara Salpini, "Nike CEO: Wholesale Partners 'Feel We've Turned Our Back on Them'", Retail Dive, December 20, 2024, <https://www.retaildive.com/news/nike-sales-fall-rebuild-wholesale-partnerships/736175/>, accessed January 2025.

followers who refine and adapt their strategy based on the market's response to the leader can gain a stronger market position than the first mover.